

Research & Evidence Document - Project Ghras (غراس)

Version: 2.0 (Localized Saudi Edition)

Date: July 2026

Objective: To serve as the comprehensive, academic, and empirical reference guiding the behavioral, economic, and technical design of the Ghras (غراس) application, utilizing localized Saudi data as the primary evidence base.

1. The Savings Crisis and Behavioral Patterns Among Saudi Youth

This section establishes the empirical problem statement: the cultural and systemic gap in savings within Saudi Arabia, particularly among the youth demographic.

A. National Savings Rates and Economic Benchmarks (Saudi Arabia)

- **The 1.6% Reality (GASTAT):** According to the official Household Income and Expenditure Survey conducted by the Saudi General Authority for Statistics (GASTAT), the actual average savings rate of Saudi households is approximately **1.6%** of their total disposable income. This is critically low compared to the globally accepted standard of 10% required to ensure long-term financial independence and resilience.
- **The Vision 2030 Mandate (FSDP):** The Financial Sector Development Program (FSDP)—a core blueprint of Saudi Vision 2030—explicitly identifies the youth demographic (specifically individuals aged 19 to 29) as a segment characterized by high consumption patterns and low formal financial planning. The program has set a national Key Performance Indicator (KPI) to raise household savings systematically to **10%** as part of its socio-economic sustainability goals.
- **SAMA's Assessment of Savings Barriers:** Reports and financial literacy publications by the Saudi Central Bank (SAMA) highlight that the primary barriers to local savings are not necessarily lack of income, but behavioral habits. These include the absence of structured personal budgeting, a lack of distinction between essential needs and luxury desires, and an over-reliance on short-term consumption.

B. Youth Financial Vulnerabilities (Local Context)

- **Lifestyle Inflation & Social Pressure:** Regional behavioral studies indicate that young adults (Gen Z and Millennials) in Saudi Arabia suffer from high rates of "lifestyle inflation" driven by social media, peer spending comparison, and the rapid growth of "Buy Now, Pay Later" (BNPL) schemes. This creates a psychological barrier where setting aside large, manual lump-sums is perceived as a direct threat to their active social participation and immediate lifestyle.

- **High Digital Payment Adoption (FinTech Saudi):** According to FinTech Saudi (an initiative by SAMA and the Capital Market Authority), digital payment adoption (such as Apple Pay and mada) has surpassed 90% of all retail transactions in Saudi Arabia. This high digital penetration represents an ideal infrastructure for Ghras, as cash-free transactions can easily be rounded up electronically behind the scenes.

2. Behavioral Economics and Nudge Theory (The "Why" Behind Ghras)

This section provides the theoretical foundation for using subtle "nudges" and micro-actions rather than expecting users to possess perfect self-control, localized to Saudi currency and behavior.

A. Choice Architecture and Default Options

- **The Power of Defaults:** In Nudge Theory, Nobel Laureate Richard Thaler and Shlomo Benartzi demonstrated that human beings are highly susceptible to inertia. By implementing "Default Options" (where a positive financial action happens automatically unless opted out), programs bypass the cognitive friction of decision-making.
Reference: Thaler, R. H., & Benartzi, S. (2004). "Save More Tomorrow™: Using Behavioral Economics to Increase Employee Saving." Journal of Political Economy, 112(S1), S164-S187.
- **The "Save More Tomorrow" (SLaT) Framework applied to Ghras:** Instead of forcing young Saudi users to make a conscious, painful decision to save a large sum monthly, Ghras automates the saving process by running quietly in the background of their daily consumption habits, bypassing active cognitive resistance.

B. Overcoming the Psychological "Pain of Paying"

- **Cognitive Dissonance in Manual Transfers:** Behavioral scientists Dan Ariely and George Loewenstein identified that manually moving money from a primary checking account to a savings vault triggers a neurological response akin to physical pain (referred to as the "Pain of Paying").
Reference: Prelec, D., & Loewenstein, G. (1998). "The Red and the Black: Mental Accounting of Savings and Debt." Marketing Science, 17(1), 4-28.
- **The Saudi Micro-Savings Buffer (Halalas to Riyals):** By utilizing automated, micro-incremental transactions (such as rounding up transactions to the nearest Riyal), the "Pain of Paying" is entirely bypassed. Because the sum is integrated seamlessly into an already approved consumption action (e.g., buying a coffee for 13.50 SAR, where 0.50 SAR (50 Halalas) is quietly redirected), the brain registers only a single, painless consumer transaction.

3. Empirical Validation of Micro-Savings and

Round-Up Mechanisms

Data proving that extremely small sums, when automated, accumulate into significant financial assets over time, modeled on Saudi consumer habits.

A. Statistical Modeling of the Round-Up Effect (Saudi Household Context)

- **Frequency Over Volume:** Local consumer transaction studies show that an average active cardholder in Saudi Arabia performs approximately **31 card transactions per month** (primarily via mada/Apple Pay).
If the mathematical average round-up (the Halalas remaining to reach the next Riyal) is 0.50 SAR per transaction:
$$\text{\text{\$}\text{Monthly Savings}} = 31 \times 0.50 = 15.50 \text{\text{\$ SAR}}$$
$$\text{\text{\$}\text{Annual Savings}} = 15.50 \times 12 = 186.00 \text{\text{\$ SAR}}$$
- **The Multiplier Effect (Accelerated Micro-Savings):** When Ghras introduces a "Multiplier" (allowing users to multiply their round-up by 2x, 5x, or 10x), the accumulation changes drastically. For instance, with a moderate 3x multiplier, a young user seamlessly saves over **550 SAR annually** entirely from transactions they were already going to make. This serves as an ideal baseline for building an emergency fund without active lifestyle sacrifices.

4. Gamification and Visual Feedback (The "Ghras" Digital Palm Tree)

Why representing savings as a growing, virtual organic entity (the native Saudi Palm) is scientifically superior to displaying simple numeric ledgers.

A. The Endowment Effect and Virtual Ownership

- **The Endowment Effect:** Behavioral research shows that individuals value things more highly merely because they own or have nurtured them. By turning a savings account balance into a living "Digital Palm Tree" that requires "watering" via micro-savings, the user develops a psychological bond with their savings.
Reference: Kahneman, D., Knetsch, J. L., & Thaler, R. H. (1991). "Anomalies: The Endowment Effect, Loss Aversion, and Status Quo Bias." Journal of Economic Perspectives, 5(1), 193-206.
 - **Visualizing Abstract Goals with Local Heritage:** Numbers on a screen are highly abstract and fail to trigger emotional dopamine responses. Converting numeric growth into a visual representation of a native Saudi tree (The Palm) that grows from a seed to a fruit-bearing tree makes the long-term benefits of compound growth tangible, highly engaging, and satisfying in the short term.
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5. Technical Feasibility & Infrastructure

The academic validation for the chosen technical stack of Ghras to ensure high fidelity and trust.

- **Flutter for Cross-Platform Integrity:** The frontend stack leverages Flutter to guarantee identical, low-latency visual performance across iOS and Android devices, ensuring that the heavy animations required for the gamified palm tree remain smooth and responsive on lower-end devices typically owned by younger users.
- **Supabase for High-Fidelity Transaction Logging:** Micro-transactions require real-time, highly consistent data processing. The database architecture relies on Supabase (PostgreSQL), utilizing transactional integrity constraints to handle micro-rounding calculations down to the decimal point without data drift, which is critical for maintaining user trust in a financial application.